

Retail Research	IPO Note
Sector: Retail	Price Band (Rs): 370 - 389
29th August 2024	Recommendation: Subscribe for Long Term

Baazar Style Retail Ltd.

Company Overview:

Baazar Style Retail is a value fashion retailer operating in the North-Eastern domestic market with a presence in 9 states and operating 162 stores. The company's offerings are bifurcated under the apparel and general merchandise verticals with a target customer base comprising of middle-class households. Over the years, the company has developed its own brand 'Style Baazar' offering a wide range of products which has resulted in strong customer loyalty and recognition.

Key Highlights:

1. One of the fastest growing value retailers in Eastern India: The Company has been the fastest growing value retailer in Eastern India during the 2017-2024 period in terms of store count (35.8% CAGR). The company is focusing on expanding in Eastern India, the fastest-growing region for value retail, with a focus on cluster-based expansion and deeper penetration into core markets. The market size of the value-retailing industry in the Eastern and North-Eastern states of India is estimated at ~ Rs 1,417.48 bn (FY24).

2. Cluster-based store expansion: The company carefully selects new store locations based on factors such as population density, footfall potential, public transportation facilities, proximity to existing stores and competition opportunities and threats, etc. It has a history of lowest number of store closures v/s other listed players. The company follows a cluster-based approach in which a new store is opened and operated within the same or nearby districts.

3. High operational efficiency: Baazar Style Retail has a strong vendor selection process, with a wide network of suppliers and vendors across the country (641 Suppliers and 1,226 Vendors as of Mar'24). Orders are placed based on analysis of customer demand and product assortment requirements to match the customer preferences. The company uses data analytics (ERP, trends, seasonality, etc) to help determine best-selling products and understand fashion trends, enabling better decision-making and improving operational efficiency.

4. Effective marketing leading to higher repeat orders: The company's targeted marketing and promotion activities aim to increase brand visibility and customer loyalty. The marketing strategy focuses on promoting brands, engaging with a wider audience, and achieving repeat purchases from existing customers. As of FY24, the repeat purchase rate stood at 71.9%, up from 68.5% in FY22.

Valuation: At the upper price band of Rs 389, the company is valued at FY24 P/E, EV/Sales, EV/EBITDA multiple of 132.3x/3.0x/20.5x respectively based on post issue capital. While comparing the IPO with other listed peers, the issue appears to be fairly valued. Post IPO, the management will be using the proceeds to repay debt which will help to lower the interest expenses and thus help in better earnings growth. We recommend subscribing to the issue for long term investment horizon.

Issue Details	
Date of Opening	30 th August 2024
Date of Closing	3 rd September 2024
Price Band (Rs)	370 – 389
Offer for sale (no of shares)	1,76,52,320
Fresh Issue (Rs cr)	148
Issue Size (Rs cr)	801 - 835
No. of shares	2,14,56,947
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	2,768 – 2,903
BRLMs	Axis Capital Ltd, Intensive Fiscal Services Private Ltd, JM Financial Ltd
Registrar	Link Intime India Private Limited
Bid Lot	38 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NII shares	15%

Objects of Issue		
	Estimated amount from Net Proceeds and the Pre-IPO Placement (Rs Cr)	Amount utilized by the company from the Pre-IPO Placement (Rs cr)
Prepayment or repayment of all or a portion of certain outstanding borrowings availed by the Company	146.0	32.2
General corporate purposes*	-	-
Total	-	32.2

*1. To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

2. The company raised Rs 37.0 cr through pre-IPO placement. The revised fresh issue size stands at Rs 148 cr (Agg. Rs 185 cr- Rs 37 cr + Rs 148 cr)

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,89,65,840	55.0
Public & Others	3,18,45,126	45.0
Total	7,08,10,966	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,39,96,684	45.6
Public & Others	4,06,18,909	54.4
Total	7,46,15,593	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operation	551.1	787.9	972.9
EBITDA	68.4	101.5	142.2
PAT	(8.0)	5.1	21.9
EBITDA Margin (%)	12.4	12.9	14.6
PAT Margin (%)	-	0.6	2.3
ROE (%)	-	3.0	10.7
ROCE (%)	10.3	16.9	22.4
PE (x)*	-	532.6	123.8

**Note: Pre-issue PE based on upper price band*

**FY22 & FY23 figures represent standalone numbers*

Source: RHP, SSL Research

Risk Factors

- **Competitive Industry:** The company operates in a highly competitive retail industry characterized by rapid shifts in consumer trends and technology. The company's offerings also face competition from various fashion players such as retail, wholesale, e-commerce, and independent retail stores with many competitors having substantially greater financial and marketing resources thus making it challenging for the company to adapt to changing customer requirements or compete on pricing.
- **Supplier Risk:** The company's ability to operate its stores depends on its relationships with the suppliers, as the company does not manufacture any of the products that it sells. Additionally, it relies on third-party manufacturers, wholesalers, and suppliers for an uninterrupted product supply and does not have any long-term supply arrangements with them. Thus, the inability to find qualified suppliers, who can deliver quality products on time, can impact the company's business growth and also adversely affect its operations.
- **Concentration Risk:** Baazar Style Retail uses a cluster-based expansion model for opening new stores in the same or nearby districts which has improved supply chain efficiencies, brand visibility, and marketing expenditure. However, concentrating stores in a small area may reduce individual store sales, which could impact revenues in the future.
- **Seasonality Risk:** Some of the company's product offerings are contingent on the changing customer preferences for seasonal requirements such as Summer and Winter clothing. Retail spending is also heavily dependent on the economy and can be influenced by the presence of events like festivals, weddings, etc. which creates a considerable degree of demand volatility.

Growth Strategies

- To strengthen market position by increased penetration, focus on customer retention, and garnering brand loyalty
- To expand revenue contribution from private labels
- To achieve greater control over product quality
- To make continued investments in technology & data analytics for implementing omni-channel retailing business model

Operational Metrics

Particulars	FY22	FY23	FY24
Store Count (Nos)	106.0	135.0	162.0
Number of Bills (in mn)	5.8	8.2	10.0
Average Transaction Value (Rs)	1,026.2	1,040.9	1,038.7
Sales per sq ft (Rs)	6,190.0	7,445.0	7,758.0
Same Store Sale Growth (%)	17.0	25.7	9.5
Private Label Brands (% of total sales)	24.7	31.4	37.9

**FY22 & FY23 figures represent standalone numbers while FY24 represents consolidated data
Source: RHP, SSL Research*

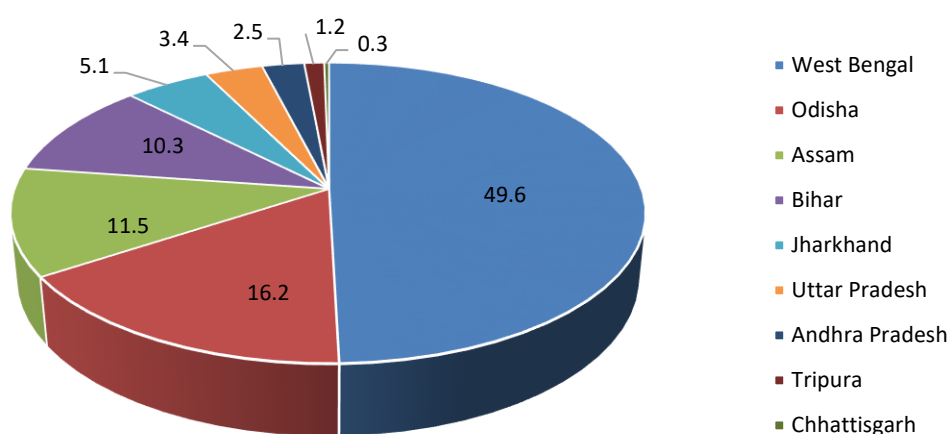
No. of stores – State wise

State	FY22	FY23	FY24
West Bengal	48	58	62
Odisha	18	26	28
Bihar	17	15	17
Assam	12	15	25
Jharkhand	7	8	9
Andhra Pradesh	2	6	6
Uttar Pradesh	-	4	12
Tripura	2	2	2
Chhattisgarh	-	1	1

Source: RHP, SSL Research

Revenue Split- State Wise

Revenue Split - State Wise (FY24)

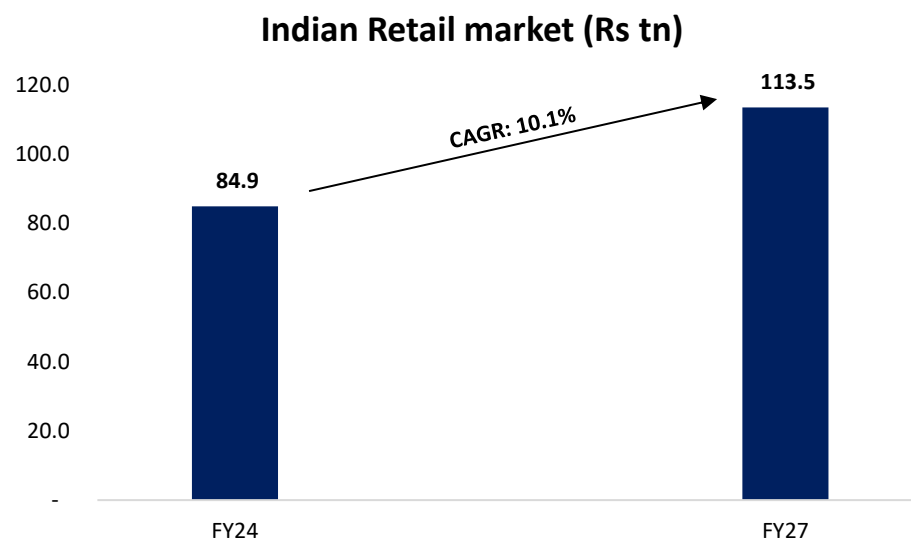


Source: RHP, SSL Research

Industry Overview

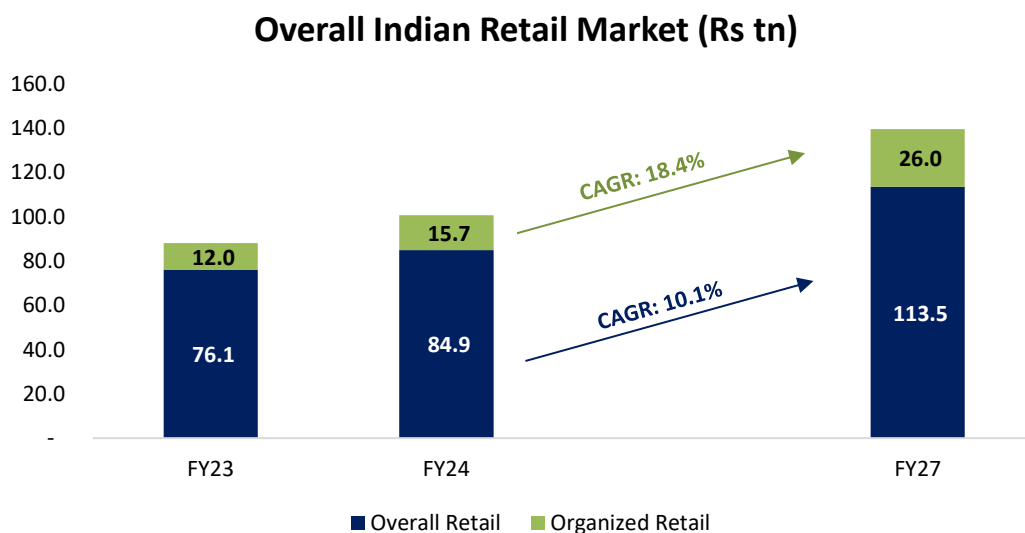
Indian Retail Market:

The Retail market in India is expected to grow at a CAGR of 10.1% and reach Rs 113.5 tn by FY27 from Rs 84.9 tn in FY24. In FY24, India's retail sector made up about 48% of its private consumption, and it is anticipated to maintain a similar share in private consumption for the next five years as well.



Source: RHP, SSL Research

The **Apparel and Accessories market** in India was estimated to be around Rs 6.8 tn as of FY24, making it one of the largest segments in the Indian retail sector. The share of Apparel & Accessories in the overall retail market is expected to increase from approximately 8.1% in FY24 to 9.4% in FY27. Presently, the Apparel and accessories sector is the fastest growing in the retail basket and is expected to grow at a CAGR of around 16.0% between FY24 to FY27. Organized Retail penetration is anticipated to reach around 22.9% by FY27 from the current 18.5% as of FY24, thus offering consumers more choices and convenience for browsing and shopping.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	551	788	973
YoY growth (%)	-	43.0%	23.5%
Cost Of Revenues (incl Stock Adj.)	376	534	647
Gross Profit	175	254	326
Gross margins (%)	31.8%	32.2%	33.5%
Employee Cost	46	68	85
Other Operating Expenses	61	84	99
EBITDA	68	101	142
EBITDA margins (%)	12.4%	12.9%	14.6%
Other Income	10	6	10
Interest Exp.	35	41	49
Depreciation	53	61	73
PBT	-10	5	29
Exceptional item/Extraordinary item	0	0	0
Tax	-2	0	7
PAT	-8	5	22
PAT margin (%)	-	0.6%	2.3%
EPS (Rs)	-1.1	0.7	3.1

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	105	135	190
Capital WIP	3	2	7
Intangible Assets	1	1	1
Intangible Assets under development	0	0	0
Right of use assets	281	333	428
Other Non-current Assets	26	32	36
Current Assets			
Current Investment	0	0	0
Inventories	280	317	433
Trade receivables	0	0	0
Cash and Bank Balances	24	5	15
Short-term loans and advances	0	0	0
Other Current Assets	34	43	55
Total Current Assets	339	365	503
Current Liabilities & Provisions			
Trade payables	180	166	262
Other current liabilities	19	15	29
Short-term provisions	0	0	1
Total Current Liabilities	199	181	292
Net Current Assets	140	184	212
Assets Classified as held for sale	0	0	0
Total Assets	555	686	874
Liabilities			
Share Capital	33	35	35
Reserves and Surplus	110	159	180
Total Shareholders Funds	144	194	215
Minority Interest	0	0	0
Total Debt	102	115	178
Long Term Provisions	2	2	2
Lease Liabilities	308	375	479
Other Long Term Liabilities	0	0	0
Net Deferred Tax Liability	0	0	0
Total Liabilities	555	686	874

Cash Flow (Rs Cr)	FY22	FY23	FY24
Cash flow from Operating Activities	16	33	112
Cash flow from Investing Activities	(27)	(43)	(85)
Cash flow from Financing Activities	29	(8)	(18)
Free Cash Flow	(11)	(11)	27

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	-	0.6%	2.2%
Return on Capital Employed	10.3%	16.9%	22.4%
Return on Equity	-	3.0%	10.7%
Margin Analysis			
Gross Margin	31.8%	32.2%	33.5%
EBITDA Margin	12.4%	12.9%	14.6%
Net Profit Margin	-	0.6%	2.3%
Short-Term Liquidity			
Current Ratio (x)	1.5	1.7	1.5
Quick Ratio (x)	0.3	0.2	0.2
Avg. Days Sales Outstanding	-	-	-
Avg. Days Inventory Outstanding	186	138	141
Avg. Days Payables	119	80	80
Fixed asset turnover (x)	5.2	5.9	5.1
Debt-service coverage (x)	0.2	0.3	0.3
Long-Term Solvency			
Total Debt / Equity (x)	0.7	0.6	0.8
Interest Coverage Ratio (x)	0.7	1.1	1.6
Valuation Ratios*			
EV/EBITDA (x)	40.9	27.9	20.3
P/E (x)	-	532.6	123.8
P/B (x)	18.9	14.0	12.6
EV/Sales (x)	5.1	3.6	3.0

*Valuation ratios are based on pre-issue capital at the upper price band

* Financial statements for FY22 & FY23 represent standalone figures while FY24 is consolidated.

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Baazar Style Retail Ltd.	V-Mart Retail Ltd.	V2 Retail Ltd.
CMP (Rs)	389.0	3,591.6	1,167.9
Sales	972.9	2,785.6	1,164.7
EBITDA	142.2	213.1	147.8
Net Profit	21.9	(96.8)	27.8
Mkt Cap.	2,902.5	7,268.1	4,204.0
Enterprise Value	2,917.9	8,632.1	4,729.0
EBITDA Margin (%)	14.6	7.6	12.7
Net Margin (%)	2.3	-	2.4
PE (x)	132.3	-	106.0
EV/EBITDA (x)	20.5	29.9	25.8
RoE (%)	10.7	-	6.9
RoCE (%)	22.4	0.5	9.0
EV/Sales (x)	3.0	3.0	3.9

For Baazar Style Retail, the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 29th August, 2024.

Source: RHP, SSL Research

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(CIN): U65999MH2005PLC155485

SEBI Registration No.: Stock Broker: INZ000200032 | DP Registration No.: IN-DP-314-2017

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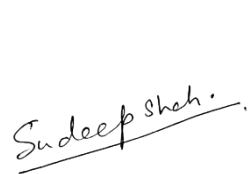
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